

**Time:** 5 minutes**Outcome:** Analyze International Trade: Tariffs.**Difficulty:** ●●● Advanced

International Trade: Tariffs



THE CORE IDEA

A tariff is a tax on imported goods that raises the domestic price above the world price. Domestic firms respond by producing more, consumers buy less, and imports fall. Consumers lose surplus, domestic producers gain surplus, and the government collects tariff revenue. The tariff also prevents mutually beneficial trades, creating deadweight loss from excessive domestic production and reduced consumption.



HOW TO RECOGNIZE IT

- Begin with an importing country whose world price is below the domestic no-trade price.
- Add the tariff per unit to the world price to find the tariff-inclusive domestic price.
- At that higher price, read domestic quantity demanded and quantity supplied; imports equal their difference.
- Tariff revenue equals the tariff per unit multiplied by the number of units imported.
- Look for lower consumer surplus, higher producer surplus, government revenue, and deadweight loss from overproduction and underconsumption.

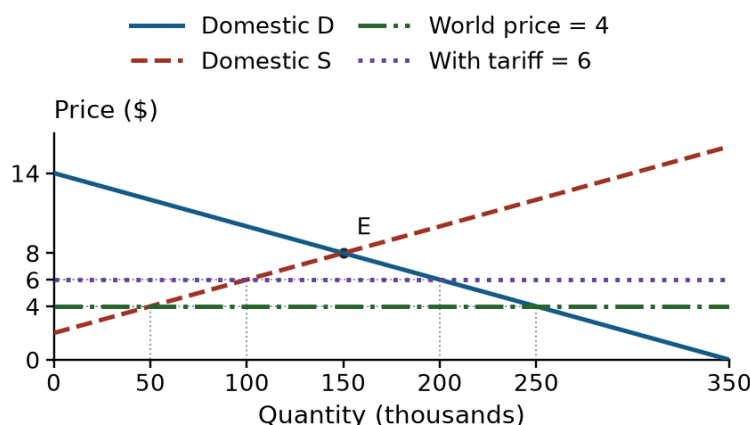


WATCH OUT

Do not treat tariff revenue as full welfare loss. Part of the consumer loss is transferred to producers and government; the production and consumption distortions are net losses.



WORKED EXAMPLE: FINDING TARIFF REVENUE



At the \$4 world price, domestic quantity demanded is 250 thousand and domestic quantity supplied is 50 thousand, so free-trade imports are 200 thousand. A \$2 tariff raises the domestic price to \$6; quantity demanded falls to 200 thousand and quantity supplied rises to 100 thousand. Imports fall to 100 thousand, and government tariff revenue is $\$2 \times 100 \text{ thousand} = \200 thousand .



CHECK YOURSELF

Which two effects create tariff deadweight loss?

**READY?**

Return to the game and master this concept.